

Beaconhouse National University



Assignment: Reading 1.1

Subject: Functional English

Submitted by: Saad Mughal

Student ID: F2023-009

Section: B

Submission Date: 01-OCT-2023

Unity changes its pricing model and after backlash from developers changes it again

Unity, a popular video game engine made a big announcement on 12 September 2023 about changes to their pricing model where if you reach a certain level of success from their product they're gonna charge a flat fee from developers any time a game made with Unity is installed.

Here's the table that unity included in its announcement.

	Unity Personal and Unity Plus	Unity Pro	Unity Enterprise
Unity Runtime Fee thresholds to be met			
Revenue Threshold (USD)	\$200,000 (last 12mo)	\$1,000,000 (last 12mo)	\$1,000,000 (last 12mo)
Install Threshold	200,000 (life to date)	1,000,000 (life to date)	1,000,000 (life to date)
Installs over the Install Threshold	Standard monthly rate		
1-100,000	\$0.20 per install	\$0.15 per install	\$0.125 per install
100,001-500,000		\$0.075 per install	\$0.06 per install
500,001-1,000,000		\$0.03 per install	\$0.02 per install
1,000,001+		\$0.02 per install	\$0.01 per install
Installs over the Install Threshold	Emerging market monthly rate		
1+	\$0.02 per install	\$0.01 per install	\$0.005 per install

Now all this seems fine but if we look a little deeper, Unity says 'per install' and doesn't specify that. Meaning that even if the game is not bought but pirated, and it's installed then the developer will have to pay unity the runtime fee. The potential danger of this policy is that anyone can reinstall the same game multiple times out of spite just to screw over a game developer and that developer will have to pay unity.

John Riccitiello, Unity CEO sold a substantial amount of unity stocks right before announcing this outrageous change in the pricing model.

John is a former EA employee/CEO who in 2011 during a stockholder meeting said that "when you're six hours into playing Battlefield and you run out of ammo in your clip and we ask you for a dollar to reload, you're really not that price sensitive at that point in time." This guy is the worst greediest villain who just views the gaming industry as a lemon squeezer and instead of lemons he squeezes money out of not only consumers but also producers.

Although on 22nd September 2023, Unity has come forward with an apology and changed their pricing model again, they have lost the trust of developers. Many people including myself are going to move to other game engines like Godot and Unreal.

If something like this just suddenly happened which affects people's livelihood then it can happen again in the future. These game engines are an investment that take years to practice and developers choose a single engine and invest all their time and energy to make all their games on that engine as it's difficult to learn a new engine every time you need to develop a new game.

Sources:

<https://www.theverge.com/2023/9/12/23870547/unity-price-change-game-development>
<https://www.polygon.com/23885373/unity-technologies-install-fee-pricing-change>